

AICA LEVEL 2 CAPSTONE PROJECT PROBLEM STATEMENT

Automated Legal Intelligence Engine for GST Section 16(2)(c), NGTP & Retrospective Cancellation Disputes

Project Category: Applied AI & Legal Informatics in Tax Practice	Target Body: The Institute of Chartered Accountants of India (ICAI)
Core Statutory Domain: CGST Act Sections 16(2)(c), 16(2)(aa), 74, 155	Constitutional Framework: Article 141 Supreme Court Precedent Hierarchy
Deliverable Standard: Full-Stack Autonomous Legal Audit & IRAC Dossier Engine	Verification Mechanism: Deterministic 13-Step Evidentiary & Statutory Pipeline

1. Background: The Section 16(2)(c) & NGTP Crisis in Indian Industry

Under the Indian Goods and Services Tax (GST) framework, Input Tax Credit (ITC) is the vital vascular mechanism ensuring tax neutrality. However, the introduction of automated scrutiny systems and pan-India investigations against 'fake billing syndicates' has triggered an unprecedented litigation crisis for bona fide manufacturing, infrastructure, and trading enterprises across India.

Central and State tax authorities have issued hundreds of thousands of Show Cause Notices (Form GST DRC-01) and assessment orders (Form GST DRC-07) disallowing ITC under Section 16(2)(c) of the CGST Act, 2017. Tax officers demand recovery of credit, mandatory interest under Section 50 (18% to 24%), and 100% penalties under Section 74, solely because upstream suppliers failed to remit tax into the government exchequer, omitted invoices from GSTR-3B, or were retrospectively flagged as 'Non-Genuine Taxpayers' (NGTP) by DGGI or state intelligence bureaus.

Over INR 75,000 Crores in legitimate working capital is currently locked up in disputed tax demands, threatening the solvency of compliant businesses and overwhelming the appellate authorities.

2. The Statutory Contradiction: The 'Impossible' Condition

The problem originates from an inherent statutory asymmetry embedded within Section 16(2)(c):

- **The Impossible Condition (Section 16(2)(c)):** The provision conditions a buyer's credit on the supplier's actual deposit of tax into the government treasury. While a purchasing recipient can prove payment of consideration and tax through banking channels, it possesses zero statutory, regulatory, or investigative machinery to compel a third-party seller to deposit those funds with the Government.
- **The Supreme Court's Binding Ratio in Suncraft Energy:** The Calcutta High Court ruled that tax authorities cannot initiate recovery against the purchasing recipient without first exhausting all statutory avenues against the defaulting supplier. On December 14, 2023, the Hon'ble Supreme Court affirmed this principle by dismissing the Revenue's Special Leave Petition (SLP (C) No. 27927/2023). Under Article 141 of the Constitution of India, this ruling is binding on every tax authority throughout India.
- **Doctrine of Impossibility (Lex Non Cogit Ad Impossibilia):** The Supreme Court has repeatedly held (e.g. *Arise India Ltd.* and *State of Karnataka v. Radha Krishan*) that the law cannot compel a citizen to perform that which is physically and legally impossible.
- **Retrospective Misapplication of GSTR-2B:** Adjudicating officers routinely apply the mandatory GSTR-2B matching condition (Section 16(2)(aa)) retrospectively to pre-2022 periods, in defiance of CBIC Circular No. 183/15/2022-GST and Kerala High Court Division Bench precedent in *M. Trade Links*.

3. Operational Dilemmas for Chartered Accountants & Tax Counsels

Despite robust legal precedents favoring bona fide buyers, over 65% of replies and first appeals fail before the Adjudicating Authority due to three critical operational bottlenecks:

1. **Crushing Evidentiary Reconciliation (15–20 Hours per Notice):** A typical SCN involves hundreds of invoice line items. Manually cross-referencing invoice serial numbers, bank RTGS UTR timestamps, E-Way bills, vehicle registration numbers, FASTag toll receipts, and weighbridge slips across multiple physical binders consumes massive senior professional bandwidth.

2. Catastrophic Pleading Traps: Inexperienced drafting frequently concedes fatal points: (a) Inadvertently admitting that the supplier defaulted; (b) Failing to plead the doctrine of impossibility under Article 14; (c) Failing to invoke binding CBIC circulars (Circular 183 & 237); (d) Omitting prayers for consequential relief regarding Section 50 interest and Section 74 penalty.

3. Absence of Quantitative Viability Scoring: Tax leaders lack a scientific, reproducible method to evaluate case viability. Decisions to litigate versus pay under protest are made on subjective intuition rather than mathematical evidentiary rigor.

4. The Capstone Engineering Solution: NGTP Intelligence Engine

To solve this problem, this Capstone Project develops the **NGTP Litigation Intelligence Engine**—an autonomous multi-agent platform that pairs deterministic statutory audit mathematics with dynamic judicial precedent synthesis:

- **Scope Gatekeeper:** Automatically screens every upload and restricts execution strictly to NGTP and Section 16(2)(c) matters, rejecting out-of-scope files as NOT APPLICABLE.
- **13-Step Background Verification Pipeline:** Replaces 20 hours of manual legal research with a 2-second automated audit covering fact extraction, 8 statutory parameters (NGTP-P1 to P8), lower authority error detection, and drafting traps.
- **Dynamic Multi-Case Judicial Precedent Synthesis:** Dynamically retrieves and injects 8+ Supreme Court and High Court rulings (*Suncraft*, *LGW Industries*, *Arise India*, *Diya Agencies*, *Halder Enterprises*, *Uniworth Textiles*) into court-ready IRAC appeal grounds.
- **Quantitative Scoring Engine (0 to 100):** Computes first-principles Litigation Readiness and Viability scores, classifying cases into definitive decisions: **PROCEED** (fortified case) vs. **HOLD / DO NOT PROCEED** (fatal transit or banking defects).

5. Capstone Empirical Demonstration: The 2-Dataset Proof Matrix

Evaluation Dimension	Dataset 1 (Proceed Worthy)	Dataset 2 (Not Worthy / Hold)
Taxpayer & Disputed Matter	M/s Apex Precision Engineering (■38.4L - Retrospective Cancellation of Supplier GSTIN)	M/s Shaurya Infra Projects (■52.0L - Paper Supply / No E-Way Bill)
Invoices (Rule 46 Particulars)	Complete Rule 46 Tax Invoices attached	Invoices attached but vague descriptions
Banking Proof (180-Day RTGS)	HDFC RTGS debit voucher with UTR on record	Delayed or unverified payment records
Physical Transit Corroboration	E-Way Bill (Part A & B) + FASTag + Weighbridge	ZERO transit records / NO E-Way Bill
Supplier GSTR-1 Ledger	GSTR-1 ARN confirmation attached	Supplier unverified / non-existent
Engine Statutory Audit	All 8 NGTP Parameters Satisfied (NGTP-P1 to P8)	NGTP-P2 Failed (Transit); NGTP-P7 High Risk
Readiness & Viability Score	100 / 100 (HIGH Viability 95%)	50 / 100 (LOW Viability 43%)
Final Actionable Verdict	PROCEED (File Appeal & Dossier)	HOLD (NOT WORTHY / Fatal Transit Defect)

6. Conclusion & Practical Impact for the Profession

This project demonstrates that applied AI can elevate the Chartered Accountancy profession from manual, reactive document collation into predictive, evidence-based litigation science. By automating statutory reconciliation and Article 141 judicial hierarchy, the NGTP Litigation Intelligence Engine establishes an objective, audit-proof standard for tax defense across India.